

Indian Metals & Ferro Alloys Ltd

Concall Tracker — reading the last ~3 years of earnings calls · Report date: 5 July 2026 · Screener ticker: IMFA

EARNINGS-CALL DEEP READ

1. Snapshot — what the business is

In one line: IMFA is India's largest and only fully self-reliant maker of **ferrochrome** — an iron-and-chromium alloy that is the essential raw material for making stainless steel. It digs its own chrome ore from captive mines and burns its own captively-generated power in electric furnaces to smelt that ore into ferrochrome, then sells the alloy mostly to overseas stainless-steel mills. Owning both the ore and the power is what makes it a low-cost producer.

₹7,416 cr

Market value (what the whole company is worth on the stock market today)

₹2,826 cr

FY26 sales (total money from selling ferrochrome in the year to Mar-2026, the highest ever)

₹424 cr

FY26 net profit (final profit after all costs and tax, also a record)

21%

Operating margin (out of every ₹100 of sales, ₹21 is operating profit before interest/tax)

18.4% / 16.9%

ROCE / ROE (profit earned on the capital and on shareholders' money — both healthy)

P/E 17.5

Price-to-earnings (the share costs about 17.5 times one year's profit per share)

Note: Screener's standalone and consolidated numbers are close for IMFA (it is largely a single operating company); management quotes consolidated figures on calls. Sales have climbed from ₹1,844 cr (FY21) to ₹2,826 cr (FY26); net profit swings with the ferrochrome price — ₹508 cr (FY22 boom), dipped to ₹226 cr (FY23), then ₹364 cr, ₹378 cr, ₹424 cr. Borrowings jumped from ₹414 cr to ₹982 cr in FY26 as the big expansion capex began.

2. Concall coverage

Screener listed 18 concall transcripts; all 18 downloaded cleanly and the latest (Q4 FY26, held 27 May 2026) is present — **no gap on the newest call**. The 12 most recent transcript files were read in full — that is **11 unique calls** (the two May-2025 files are identical copies of the same Q4 FY25 call), covering about three years (Q2 FY24 through Q4 FY26).

Quarter	Call date	Read?
Q2 FY24	3 Nov 2023	Yes
Q3 FY24	31 Jan 2024	Yes
Q4 FY24	24 May 2024	Yes
Q1 FY25	1 Aug 2024	Yes
Q2 FY25	8 Nov 2024	Yes
Q3 FY25	Feb 2025	Yes
Q4 FY25	23 May 2025 (filed twice — duplicate)	Yes

Q1 FY26	Aug 2025	Yes
Q2 FY26	7 Nov 2025	Yes
Q3 FY26	6 Feb 2026	Yes
Q4 FY26 (latest)	27 May 2026	Yes

★ Latest concall highlights — Q4 FY26 (call held 27 May 2026)

- **Profit more than doubled.** Net profit jumped to about **₹103 cr** from ₹47 cr in the same quarter a year earlier — because the ferrochrome selling price rose to about **₹1,09,000 a tonne** from roughly ₹87,000 a year ago (each tonne now fetches ~₹22,000 more).
- **The Tata Steel plant purchase is done.** IMFA closed the acquisition of Tata Steel's Kalinganagar ferrochrome plant ("KNR 2") on **27 February 2026** and it is already running at about **70% utilization** — it added ~2,200 tonnes to this quarter's output and is expected to contribute meaningfully from Q1 FY27.
- **The new-build plant ("KNR 1") is almost lit.** Cold trials started 30 May; the first furnace switches on around **10–15 July 2026** (a 10–15 day slip due to election-time manpower loss and 44–45°C heat), the second by end-Aug/early-Sept. Management expects to reach a **5-lakh-tonne annual output run-rate by Nov–Dec 2026**.
- **Clean-energy pivot enlarged.** Renewable tie-ups now total **135 MW** (70 MW from JSW Energy flowing from July 2026; 65 MW from Enfinity Global from June 2027), replacing an earlier 40 MW deal that was cancelled.
- **Tone: quietly confident.** Management guides **Q1 FY27 sales of ~80,000 tonnes** (vs a normal ~65,000) and says prices/margins in Q1 are already better than Q4, helped by global ferrochrome output falling ~9.4% (to under 16 million tonnes) while South African supply stays cut. They refuse to forecast beyond two quarters but express "conviction" that elevated prices will persist.

Business mix & capacity — quick facts

- **Domestic vs export:** roughly **90% exports / 10% domestic** today (nearly all sales go overseas — Korea/POSCO, Japan, China, Taiwan). Management plans to shift towards **60% exports / 40% domestic** over the next couple of years as new capacity comes on and India's stainless-steel demand grows.
- **Capacity utilization:** the existing 2,84,000-tonne plant runs essentially **flat out (~100%)** — production has been stuck near 2,60,000 tonnes a year for years, so there is **almost no headroom** to grow output without the new capacity. That is exactly why the expansion matters.
- **Where output is heading:** from ~2,65,000 tonnes (FY26) to about **4,00,000 tonnes (FY27)** and **4,75,000–5,00,000 tonnes (FY28)** once KNR 1 (new build) and KNR 2 (Tata Steel plant) are fully running — taking IMFA past half a million tonnes, making it India's largest and the world's sixth-largest ferrochrome producer.
- **Sales style:** ~70–75% is sold on long-term contracts (re-priced monthly/quarterly), the rest to repeat customers — genuine one-off spot selling is small (~7–8%).

3. Earning Trigger thesis ★

The headline driver: IMFA is in the middle of a **near-doubling of its ferrochrome capacity** — combining a brand-new plant it is building (KNR 1, +1,00,000 tonnes) with a working plant it just bought from Tata Steel (KNR 2, +1,50,000 tonnes) — lifting output from ~2,65,000 tonnes to ~5,00,000 tonnes over FY27–FY28. Crucially, all the extra chrome ore needed is met from its own captive mines (ore raising is being scaled 7→8.5→10→12 lakh tonnes), so the company stays a low-cost, fully integrated producer as it grows. This volume growth is landing **on top of an unusually strong ferrochrome price cycle**, because South Africa (the swing global supplier) has cut ~60% of its smelting capacity and world ferrochrome output is falling — so IMFA is selling more tonnes at higher prices at the same time.

Trigger	What management said	Evidence so far	Time horizon	Strength
KNR 2 — Tata Steel plant purchase (+1.5 lakh t)	Bought for a base ~₹610 cr, funded fully from internal cash; adds a ready-to-run 66 MVA (4 furnaces, ~1 lakh t) plus a half-built 33 MVA furnace (~50k t).	Delivered: deal closed 27-Feb-2026; plant already running at ~70% and contributing output.	Now → full run-rate FY27	Strong — done and already producing.
KNR 1 — new greenfield plant (+1 lakh t)	Two furnaces; first switch-on July 2026, second by Sept; ~₹550–950 cr including a captive off-gas power unit.	On track, some slippage: cold trials underway May-2026; commissioning slipped from an original Sept-2025 target to mid-2026 (land/rehab and election delays).	H2 FY27 for full ramp	Strong — late but now imminent.
Ferrochrome up-cycle (price)	Domestic price ₹1,18,000–1,20,000/t; spread (price minus cost) said to be historically the highest; South Africa cuts + cost pressure keep prices "elevated" 1–2 years.	Playing out: realization rose from ~₹81,000 (Q4 FY25 trough) to ~₹109,000 (Q4 FY26); EBITDA margin recovered from ~18% to ~23%.	Live now, 1–2 yr view	Moderate — real but cyclical/price-dependent, outside company control.
Captive-ore & cost edge	All ore in-house (raising 7→12 lakh t; Sukinda going underground, ~₹1,000 cr); KNR sites near mines/port cut costs ₹3,000–4,000/t.	Consistent: buys no ore externally; cost advantage repeatedly shown vs non-integrated rivals.	Structural, ongoing	Strong — durable moat.
Ethanol & critical-minerals (diversification)	Small 120-KLD ethanol unit (~₹150 cr) to start Q2 FY27; exploring critical-mineral/rare-earth blocks.	Too early: ethanol delayed to FY27; critical minerals only "evaluating".	FY27+	Unproven — minor for now.

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24 calls	Expansion of +1 lakh t at Kalinganagar; first commercial output around Sept 2025 ; capex ~₹1,500 cr; margins held ~23–24%.	Timeline slipped to mid-2026 (land acquisition + rehabilitation of displaced families, worsened by 2024 elections). Margins delivered.	Partly
FY25 calls	First furnace June 2026, second Sept 2026; ore raising scaling up (crossed 7 lakh t); margins to stay ~25%. Greenfield plant capex first framed at ~₹500–700 cr.	Timeline held; ore record delivered. But the ferrochrome price fell sharply in H2 FY25 (realization dropped to ~₹87,000, margins to ~18%), and greenfield capex was revised up to ~₹840–900 cr (~80% higher), drawing repeated analyst pushback.	Partly
Q2 FY26 (Nov-25)	Announced the Tata Steel plant buy; promised to close "within the calendar year", funded from internal cash; margins to improve in Q3.	Delivered: deal closed Feb-2026; Q3 margin duly rose to ~23%.	Delivered
Q3 FY26 (Feb-26)	KNR 1 first furnace June 2026; KNR 2 volumes from Q1 FY27; FY27 output ~4 lakh t; similar margins in Q4.	Broadly on track: KNR 1 slipped ~2–4 weeks to mid-July; KNR 2 running at 70%; Q4 margins held; profit doubled.	Delivered
Utkal-C coal saga (FY24–25)	Compensation of ~₹390–416 cr expected from the cancelled captive coal block; cash "expected any time".	Missed / stuck: amount cut to ~₹352 cr; Supreme Court closed all legal avenues; compensation still cannot be fully utilized. A genuine negative, though now largely written off.	Missed

Narrative drift: The core story has been **remarkably steady** for three years — "grow ferrochrome capacity while staying fully integrated and low-cost." Management did not chase fashionable new stories; the expansion even got **bigger and faster** (adding the Tata Steel plant) rather than drifting. Where they slipped it was on **execution timing** (the greenfield plant is roughly a year late), on **capex creep** (the new plant's budget rose from ~₹500–700 cr to ~₹900 cr, which they defended as better equipment plus cost inflation), and on the one external legal defeat (the Utkal coal compensation). There was a leadership generational change over the period — long-time CFO Prem Khandelwal handed over to Saunak Gupta, and MD Subhrakant Panda now fronts the calls — but messaging stayed consistent and, if anything, more transparent (they now upload data decks and quantify one-off items like forex mark-to-market). Tone is confident but deliberately conservative — they refuse to forecast beyond two quarters, which has kept them credible.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a concrete, already-visible driver: capacity is going from ~2.65 lakh tonnes to ~5 lakh tonnes over FY27–FY28, one half of it (the Tata Steel plant) already bought and running at 70%, the other half (the new plant) days from switching on. This volume growth is arriving during a strong ferrochrome price up-cycle, and IMFA's captive ore and power keep it low-cost as it scales. The price leg is cyclical and not in the

company's control — so it is not a one-way bet — but the volume leg is real, funded, and largely delivered. That is enough for a clear Yes.

Management consistent? → MAYBE (leaning positive)

On strategy and honesty, management scores well: the growth story never drifted, the expansion was funded from internal cash as promised, and disclosure has improved. But they repeatedly **missed their own timelines** — the greenfield plant is about a year behind its original Sept-2025 target — and the Utkal coal compensation ended in a stuck, written-off outcome after years of "expected any time" guidance. Promises on the *direction* of the business have held; promises on *dates and one-off recoveries* have not. That mixed delivery record is a genuine Maybe, though it leans positive because the delays were execution timing, not broken strategy.

Prepared from Screener.in concall transcripts (18 available, 12 most recent read in full, Q2 FY24–Q4 FY26) and Screener financial data. Ferrochrome = iron-chromium alloy used to make stainless steel. EBITDA = operating profit before interest, tax and depreciation. Capex = money spent building/buying plant and mines. This is a reading of management's own words vs delivery, not investment advice.